Rate of inflation on January 7, 2008 = 120 – 110/110 * 100 = 9.09 %

Case 2

Price index on March 10, 2008 =180

Price index on March 10, 2009 =190

Rate of inflation on March 10, 2009 = 190 – 180/180 * 100 = 5.55%

In both the cases, the index number increased by 10, but the rate of inflation is different. The rate of inflation is low in second case compared to first case. This is because of the difference in base period index.

Core Inflation

The core inflation is the measure of price rice in the economy excluding the price rise of certain products. Those products are whose prices are very volatile and temporary in nature. Example for these products is fruits and vegetables. These products are seasonal. During the season they are available in plenty and prices are low but during the offseason these are scarce and prices are high. It means its prices are temporary and volatile. It is measured to study the long term trend in the price rise, so that, the long term policies can be framed to control inflation.

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1 *Statistical Methods*, S.P. Gupta, p. 516
2 Economic Survey 2008–09, p. 63
3 *Monetary Economics*, 5th revised edition, M.L.Jhingan, p.232
4 The International Monetary Fund (IMF) statistics reveals that 24 countries use WPI as the official measure to track inflation, compared to 157 countries which use CPI.